Notes
to the Balance Sheet and the Income Statement of
“Surgutneftegas” Public Joint Stock Company for 2023
(text form)

1. General Information on “Surgutneftegas” PJSC

Location: ul.Grigoriya Kukuyevitskogo, 1, building 1, Surgut, Khanty-Mansiysky Autonomous Okrug – Yugra, Russian Federation.

Mailing address: 628415, Russian Federation, Khanty-Mansiysky Autonomous Okrug – Yugra, Surgut, ul.Grigoriya Kukuyevitskogo, 1, building 1.

Full corporate name: “Surgutneftegas” Public Joint Stock Company.

Abbreviated corporate name: “Surgutneftegas” PJSC.

1.1. Core operations of “Surgutneftegas” PJSC

oil, petroleum (associated) and natural gas production;

provision of services in the field of oil and natural gas production and other activities.

1.2. Management structure of the Company

General Shareholders’ Meeting of the Company.

Board of Directors of the Company.

Executive body of the Company (Director General).

The General Shareholders’ Meeting of the Company is the supreme management body of the Company.

1.3. Number of the Company’s employees

The average number of employees for 2023 was 100,694 people.

2. Information on accounting policy and amendments thereto

The accounting policy of “Surgutneftegas” PJSC for 2023 for accounting purposes complies with the legislation of the Russian Federation on accounting.

Amendments to the Company’s accounting policy are made subject to any amendments in the legislation of the Russian Federation and (or) accounting legal regulations when the Company develops or chooses a new method for accounting, which, when applied, increases the quality of information on an object of accounting and significant amendments in the operational conditions of the Company.

Significant methods for accounting are disclosed in the relevant sections of the Notes to the Company’s Balance Sheet and the Income Statement.

2.1. Planned amendments into the accounting policy for 2024.

Due to application starting from 01.01.2024 of Federal accounting standards FSBU 14/2022 “Intangible assets”, approved by order No. 86-n of the Ministry of Finance of the Russian Federation dated 03.05.2022 (hereinafter – FSBU 14/2022), amendments to FSBU 26/2020 «Capital investments», approved by Order No. 87n of the Ministry of Finance of the Russian Federation dated 30.05.2022 (hereinafter – the amendments to FSBU 26/2020), the Company’s accounting policy for 2024 contains provisions that determine the procedure for accounting and evaluation of intangible assets, costs associated with their acquisition, as well as creation, including as a result of research and development engineering, improvement of intangible assets.

As of the date of signing the accounting (financial) statements, the Company has not finished with the calculation and evaluation of the impact from FSBU 14/2022 and the amendments to FSBU 26/2020.

3. Notes to the Balance Sheet Items

3.1. Intangible assets (hereinafter – IA)

The Company's IA include:

exclusive rights to invention, industrial prototype, utility model;

exclusive rights to computer programs and databases;

exclusive rights to trademarks and service marks;

other protected results of intellectual activities and individualization means.

Intangible assets are recorded at their actual (historical) cost determined as of the date when such assets were recorded.

The cost of IA is redeemed through accrued amortization under the straight-line method within the fixed period of their useful life.

The useful life of IA is determined when an item is entered in accounting records based on the term of a patent or certificate, and other limitations for the useful life of intellectual property in accordance with the legislation of the Russian Federation, and the expected useful life of such an item during which the Company expects to obtain economic benefits (income).

The Company does not have intangible assets with an indefinite useful life.

The useful life of IA is checked by the Company annually during inventory to see whether it needs to be adjusted. If the duration of the period during which the Company expects to use the asset changes by more than 5%, the useful life of such asset shall be adjusted.

Changes in estimated values caused by this are shown in prospect.

Intangible assets are not revalued and not tested for impairment.

In the balance sheet, IA are recorded at residual value as well as costs of creation (acquisition) of IA.

Information on availability and flow of intangible assets is given in Tables 1.1, 1.2, 1.3, 1.5 of the Notes to the Balance Sheet and the Income Statement (table form).

3.2. Research and Development Engineering (R&D)

The historical cost of R&D assets is the amount of actual expenses on their acquisition or development.

R&D cost is written off as cost of production of goods (performing of works, rendering of services) evenly under the straight-line method within the fixed period of their expected useful life (but within 5 years) from the first day of a month following the month when the R&D results were first applied.

Once R&D results have ceased to be used and when there is a clear proof that the use of R&D results will not bring economic benefits in the future, the residual value of R&D assets is subject to write-off as other expenses.

The balance sheet includes finalized R&D as well as R&D in progress (non-finalized R&D) recognized in investments in non-current assets.

Information on availability and flow of R&D results is given in Tables 1.4, 1.5 of the Notes to the Balance Sheet and the Income Statement (table form).

3.3. Intangible prospecting assets

Intangible prospecting assets include prospecting costs (costs of prospecting, appraisal of hydrocarbon fields and hydrocarbon resources exploration) associated with acquisition of licenses, paid for discovery of hydrocarbon fields and preliminary appraisal of reserves.

Prospecting costs paid by the Company for discovery of hydrocarbon fields and preliminary appraisal of reserves before production was proved to be commercially feasible are accumulated within a group of objects in every license block and recorded as investments in non-current assets.

Intangible prospecting assets are not amortized during prospecting, appraisal of hydrocarbon fields and hydrocarbon resources exploration, except for licenses which authorize to carry out prospecting, appraisal of fields of hydrocarbon resources.

Part of the cost of licenses which authorize to carry out prospecting and appraisal of fields of hydrocarbon resources exploration is transferred equally during the term of these licenses and is included in the costs for creation of an exploration asset.

As of December 31, the Company analyzes factors which imply potential impairment of intangible prospecting assets.

Intangible prospecting assets are not revalued.

The Company’s intangible prospecting assets are ceased to be recognized in relation to a certain subsoil area when hydrocarbon production is proved to be commercially feasible or recognized as unpromising.

If production of hydrocarbons in a relevant license area (field) is proved to be commercially feasible, intangible prospecting asset is tested for impairment and transferred to fixed assets or other non-current assets:

prospecting and exploration wells built in the process of formation of intangible prospecting assets and recognized by the Company as suitable for further use in production activity are recorded as fixed assets;

prospecting costs for discovery of hydrocarbon fields and preliminary appraisal of reserves form the value of exploration assets.

If production of hydrocarbons in the relative license area (field) is recognized as unpromising, the value of intangible prospecting assets constitutes the part of the Company’s other expenses.

In the balance sheet, intangible prospecting assets are recorded subject to advances issued.

Information on intangible prospecting assets is given in Table 1.6 of the Notes to the Balance Sheet and the Income Statement (table form).

3.4. Fixed assets

Fixed assets items for accounting purposes are considered to be the assets that meet the criteria defined by clause 4 of FSBU 6/2020.

Fixed assets are considered to be the capital investments after their completion i.e. after bringing the capital investment item into a condition and location in which and where it is suitable for use as planned.

In respect of assets meeting the criteria of fixed assets with maximum value of RUB 100 000 per item (hereinafter – Assets with maximum value of RUB 100 000 per item) the Company does not apply FSBU 6/2020.

The Assets with maximum value of RUB 100 000 per item are recognized as part of expenses on production of goods (performing of works, rendering of services) in the month following the month in which they were brought into a condition and location in which and where it is suitable for use as planned.

When recognized in the accounting record, fixed assets item is measured at its historical cost. Fixed assets items are not revalued.

The historical cost of fixed assets items remain unchanged except for the change of the value of the estimated liabilities for future dismantling, property disposal and environmental restoration, improvement (additional construction, equipping, reconstruction, upgrading, reequipment), partial liquidation included into the historical cost of fixed assets item.

The historical cost of fixed assets items recorded before 01.01.2022 is recognized to be their historical cost (subject to revaluation) determined as of 31.12.2021 in accordance with the previous accounting policy.

The amounts of increases in the value of fixed assets items accumulated before 2022, recorded before 01.01.2022:

are transferred from additional capital to retained profit in case of retirement (partial liquidation);

decrease as a result of impairment;

increase within the accumulated amount of value increases as a result of an impairment loss reversal.

When fixed assets item is recognized, the useful life and disposal value of fixed assets item is determined.

The useful life is a period in which the use of fixed assets item brings economic benefits and it is determined when fixed assets item is recognized as per clause 9 FSBU 6/2020.

The disposal value of a fixed assets item is considered by the Company as value which the Company would have obtained in case of disposal of such item. This value is determined as the value of tangible assets left after the disposal of the relevant fixed assets item.

The useful life, the disposal value (hereinafter – the Depreciation elements) of a fixed assets item are subject to the review for compliance with the terms and conditions of the a fixed assets item use.

The cost of fixed assets is redeemed through depreciation under the straight-line method.

Depreciation accrual of a fixed assets item starts from the first day of the month following the month of recognizing a fixed assets item in the accounting record and stops from the first day of the month following the month in which a fixed assets item is written off from the accounting record.

On a quarterly basis, the Company tests fixed assets items for impairment and takes into consideration the change in their book value due to impairment.

The result of impairment of fixed assets is recognized immediately by decreasing the amounts of increase in the value of fixed assets items accumulated before 2022 or as part of other expenses if the value of item impairment is higher than its increases in the value (lack of accumulated increase in the value).

Fixed assets are recorded in the balance sheet at book value representing their historical value, less accumulated depreciation and impairment.

Information on availability and flow of fixed assets is given in Tables 2.1, 2.3, 2.4 of the Notes to the Balance Sheet and the Income Statement (table form).

3.4.1. Capital investments

Capital investments can be defined as expenses of a company, as determined by Federal accounting standards FSBU 26/2020, on acquisition, creating, improving and (or) repair of fixed assets items.

Among others the following is recorded by the Company as capital investments:

the actual expenses on improvement of a fixed assets item in the form of additional construction, equipping, reconstruction, upgrading, reequipment;

substantial actual expenses exceeding both RUB 100 000 per item and 5 percent of historical cost of the repaired fixed assets item on scheduled repairs (excl. current), technical inspections, maintenance support of fixed assets item carried out more frequently than 12 months and on emergency repairs of fixed assets as a result of malfunctions, accidents, defects, misuse, in case when such repairs improve the performance standards of fixed assets items (hereinafter – the Repair cost objects);

the value of the estimated liabilities for future dismantling, property disposal and environmental restoration.

The actual expenses on improvement of a fixed assets item at the moment of their completion increase the cost of fixed assets inventory item being improved.

The Repair cost objects at the moment of their completion are recognized as single fixed assets inventory items with the useful life defined from the planned duration of a period for obtaining economic benefits.

The value of the estimated liabilities for future dismantling, property disposal and environmental restoration is included in the amount of actual expenses on capital investments to the items, construction and assembling operations (drilling works) of which started from 01.01.2022.

On a quarterly basis, the Company tests fixed assets items for impairment and takes into consideration the change in their book value due to impairment.

Capital investments in progress are recorded as fixed assets in the balance sheet.

Tangible assets designed to be used for creating and improving non-current assets are evaluated during recognition in the accounting record and are written off in accordance with their utilization using the rules for stocks accounting. In the balance sheet these tangible assets are recorded as fixed assets.

Information on availability and flow of capital investments is given in Table 2.2 of the Notes to the Balance Sheet and the Income Statement (table form).

3.5. Financial investments

Financial investments are recorded by the Company at their historical cost. The historical cost of financial investments acquired at a charge is the amount of the actual costs of their acquisition.

When financial investments with current market value not being determined are retired, their value is determined at their historical cost of each unit of financial investments accounting.

When financial investments with current market value being determined are retired, their value is determined on the basis of their current book value.

On a quarterly basis, the Company carries out an inspection for impairment of financial investments (not traded in any established securities market) with current market value that cannot be determined. If the inspection confirms that the cost of financial investments is substantially and persistently reducing (by more than 5%) (excl. loans granted), an impairment reserve for financial investments is formed, for granted loans a reserve for doubtful debts is formed.

The financial investments are recorded in the balance sheet net of the formed reserve.

Income from sales of securities, interest and other income are recognized as other income.

Information on financial investments, maturity of which exceeds 12 months after the reporting date, is given in non-current assets in the line “Financial investments”. Information on financial investments, maturity of which lies within 12 months after the reporting date, is given in current assets in the line “Financial investments (excluding cash equivalents)”.

Long-term financial investments are transferred to short-term investments quarterly as of the date of preparation of the accounting (financial) statements if they mature in less than 12 months. In case of extension of maturity for contracts, short-term financial investments are transferred to long-term investments.

Information on financial investments is given in Tables 3.1, 3.2 of the Notes to the Balance Sheet and the Income Statement (table form).

3.6. Other non-current assets

Other non-current assets of the Company include:

non-exclusive rights to the use of software products;

licenses, certificates, permissions with the term exceeding 12 months;

deferred expenses with the write-off period exceeding 12 months after the reporting date;

exploration assets;

lease rights.

The value of the exploration asset is charged to the cost of oil and gas production evenly within the fixed period of its useful life starting from the month following the month when the exploration asset was entered in accounting records. The useful life is determined when the exploration asset is entered in accounting record based on its expected life during which the Company expects to obtain economic benefits (income).

In the balance sheet, other non-current assets are recorded at book (residual) value.

3.6.1. Lease rights

Objects of accounting are classified as objects of accounting under lease agreements if the requirements defined in clause 5 of FSBU 25/2018 are all met on a one-off basis. The objects of accounting which do not meet these criteria are recorded as per the regulations of other federal accounting standards.

The leased object (as lease right together with recognizing the lease liability) are recognized in the accounting record by the Company as Lessee as of the date of providing the leased object.

An asset number is unit of account of lease right.

The cost of lease right is redeemed through accrued amortization under the straight-line method within the fixed period of its useful life. The useful life shall not exceed the lease period.

In respect of leasing agreements (excl. land) which do not provide for transfer of title of a leased object to Lessee and lack the redeemability option for Lessee at a price significantly below its fair value as of the redemption date, and also the option of sublease of a leased object, the Company does not recognize lease right and lease liability in the following circumstances:

a) the lease period does not exceed 12 months as of the date of providing the leased object;

b) market-value of the leased object wear and tear excluded (i.e. the value of a similar new object) does not exceed RUB 300 000 and herewith the Company can obtain economic benefits from the leased object almost always independently of other assets.

In this particular case the lease payments are recorded in expenses for ordinary activities in line with the use of the leased object.

On a quarterly basis, the Company tests the right-of-use asset for impairment and pending transaction of their acquisition and takes into consideration the change in their book value due to impairment.

The actual cost of lease rights is revised in cases defined in clause 21 of FSBU 25/2018.

Information on availability of lease rights under land lease agreements for 2023

At year beginning			At year end		
Actual cost	Accumulated depreciation	Accumulated impairment	Actual cost	Accumulated depreciation	Accumulated impairment
8 642 002	(399 994)	(1 869 440)	9 196 727	(788 229)	(1 577 778)

Information on flow of lease rights under land lease agreements for 2023

Changes							
Received		Retired			Accrued amortization	Results of impairment	Change in the actual cost
Actual cost	Accumulated impairment	Actual cost	Accumulated amortization	Accumulated impairment			
672 382	(11)	(473 081)	98 962	67 408	(487 197)	224 265	355 424

3.7. Stocks

An asset is recognized in the accounting record as stocks if the requirements defined in clause 5 of Federal accounting standard FSBU 5/2019 “Stocks” (hereinafter – FSBU 5/2019) approved by order No.180-n of the Ministry of Finance of the Russian Federation dated 15.11.2019 are all met.

The Company accepts as stocks the assets that are consumed or sold in the course of the normal operating cycle, or used during the period no longer than 12 months.

Stocks are recognized in the accounting record at their actual cost.

The actual cost of stocks, except for work in progress and finished goods, includes the actual expenses on the acquisition (creation) of stocks, bringing them into a condition and location, required for consumption, sale or use, taking into consideration the list of costs which can be found in clauses 11, 12 FSBU 5/2019.

The actual cost of work in progress and finished goods includes expenses directly related to the production of a specific type of goods, works, services, and expenses that cannot be directly attributed to the production of a specific type of goods, works, services.

Stocks are written off to production or otherwise retired at their average costs, at the cost of each item.

In case of impairment of finished goods, goods that are to be sold to customers without processing, surplus stock, long-term assets for sale, the Company creates a reserve for impairment in the amount that is the excess of their actual cost over their net cost.

The reserve for impairment of other stocks (except for own products, goods to be sold to third-party contractors (third-party subcontractors) to perform capital construction and core operations at the Company’s facilities) is created when the net cost of the finished goods, works or services sold by the Company is lower than their actual cost.

Impairment loss for the stocks is recognized as other expenses for the period in which the reserve for their impairment was created (increased). The amount of restoration of the reserve for impairment of stocks is allocated to the decrease of expenses recognized in the same period in accordance with Subclause «a» of clause 43 of FSBU 5/2019.

Information on stocks is given in Tables 4.1, 4.2 of the Notes to the Balance Sheet and the Income Statement (table form).

3.8. Accounts receivable

Accounts receivable include current amounts due to the Company from buyers and customers for finished goods, shipped goods, completed works and rendered services, advances paid under the existing contracts, as well as settlements with the budget and non-budget funds and other receivables.

On a quarterly basis, the Company forms reserves for doubtful debts for accounts receivable if they are not redeemed or if there is a high risk of their non-redemption within the periods established by the contracts, and if they are not duly guaranteed.

Long-term accounts receivable are transferred to short-term accounts receivable if, pursuant to the contract, the term to maturity lies within 12 months after the reporting date. Similarly, in case the maturity term increases, the short-term accounts receivable are transferred to long-term ones.

Accounts receivable are recorded in the balance sheet net of the formed reserves for doubtful debts.

Information on accounts receivable is given in Tables 5.1, 5.2 of the Notes to the Balance Sheet and the Income Statement (table form).

3.9. Cash and cash equivalents

Cash and cash equivalents include balances on ruble and foreign currency settlement accounts, deposits with original maturities up to 3 months under the contract, petty cash and other monetary resources.

thousand RUB

Indicator	As of 31.12.2023	As of 31.12.2022
Cash and cash equivalents total, including:	117 322 239	103 639 491
deposits placed for less than 3 months	91 186 227	98 851 093
settlement account	26 134 689	4 787 159
petty cash	1 311	1 192
transfers in transit	-	11
other monetary resources	12	36

Information on flow of cash and cash equivalents in a foreign currency is recorded in the Cash Flow Statement in rubles and is equal to the amount calculated at the official rate of a foreign currency to ruble established by the Central Bank of the Russian Federation as of the date the payment is made or received.

The difference caused by recalculation of cash flows of the Company and balances of cash and cash equivalents in a foreign currency at the exchange rates as of different dates is recorded in Cash Flow Statement in the line “Effect of changes in the exchange rates of foreign currency to the Russian ruble”.

Cash Flow Statement contains brief information concerning:

proceeds and payments in connection with quick return, large amounts and short payment periods;

indirect taxes (VAT, excises) as part of proceeds from buyers and customers, payments to suppliers and contractors and payments to the budgetary system of the Russian Federation or reimbursement from it;

other calculations that relate more to the counterparties’ activities than to the Company’s ones, and (or) when proceeds from some persons determine relevant payments to other persons.

3.10. Capital

The Company’s charter capital as of 31.12.2023 is RUB 43 427 993 thousand. The charter capital is divided into 35 725 995 thousand ordinary shares and 7 701 998 thousand preference shares, and is fully paid.

3.11. Deferred tax assets and liabilities, permanent tax expense, profit tax

Determination of the current profit tax amount is performed based on the organization profit tax return and corresponds to the amount of calculated corporate profit tax.

Deferred tax assets and deferred tax liabilities are recorded in the accounting record on separate balance accounts. In the balance sheet they are shown in detail.

thousand RUB

Indicator	As of 01.01.2023	Changes	As of 31.12.2023
Deferred tax assets	3 246 687	65 424 665	68 671 352
Deferred tax liabilities	235 197 739	178 259 034	413 456 773
including formed on revaluation of fixed assets	46 937 617	(4 032 146)	42 905 471

The amount of provisional profit tax expense totals RUB 264 087 241 thousand.

The amount of permanent tax expense is RUB 5 559 759 thousand.

The Company assesses profit tax for the current reporting period to the budgets of constituent entities of the Russian Federation based on its average profit tax rate.

3.12. Accounts payable

Accounts payable include amounts currently due from the Company to suppliers and contractors for delivered tangible assets, completed works and rendered services, for advances received from third parties under the existing contracts, due to the budget of the budgetary system, due to remuneration of labor and other operations.

Long-term accounts payable are transferred to short-term ones (excl. lease liabilities) if, pursuant to the contract, the term to maturity lies within 12 months after the reporting date. Similarly, in case the maturity term increases, the short-term accounts payable are transferred to long-term ones.

3.12.1. Lease liabilities are recorded as part of in long-term accounts payable.

The lease liability is initially measured as aggregate present value of future lease payments at the measurement date.

The present value of the future lease payments is defined by discounting their nominal values. Discounting is performed based on discounting rate.

Interest is accrued by the Company as of the last date of the reporting period.

The value of the lease liability is increased by the value of the accrued interest and decreased by the value of actually paid lease payments.

The value of the accrued interest is defined as the product of lease liability as of the beginning of the period for which interest is accrued and discounting rate.

The lease liabilities value is revised in cases defined in clause 21 of FSBU 25/2018.

The lease liabilities change is allocated to the cost of lease right. Decrease of lease liabilities over and above the book value of the lease right is included in the income of the current period.

Information on accounts payable is given in Tables 5.3, 5.4 of the Notes to the Balance Sheet and the Income Statement (table form).

3.13. Government aid, deferred income

The amount of deferred income recognized due to budgetary funds received for capital expenses financing are included in the financial result along with depreciation during the useful life of non-current assets and are recorded in the Income Statement in line “Other income”.

Information on received budgetary funds is given in Table 9 “Government aid” of the

Notes to the Balance Sheet and the Income Statement (table form).

3.14. Estimated liabilities

The Company creates the following estimated liabilities:

With expected maturity of 12 months:

- reserves for future expenses for vacation payments to employees.

The reserves for future expenses for vacation payments to employees are formed from expenses on production of goods (performing of works, rendering of services).

With expected maturity exceeding 12 months incl.

- estimated liabilities for future dismantling, property disposal and environmental restoration resulting from capital investments;
- estimated liabilities for reclamation of lands resulting from prospecting, appraisal and exploration of mineral resources;
- the estimated liabilities for compensatory reforestation are created in the process of forest use to implement exploration, prospecting and production of mineral resources, for construction, reconstruction and operation of infrastructure facilities;
- estimated liabilities for reclamation of land (forest land) obtained under agreements on lease of land (forest land) for production of commonly occurring mineral resources after the production of of commonly occurring mineral resources resulting from forming lease right.

The amount of estimated liabilities is the discounted current value of estimated future expenses on dismantling, property disposal and environmental restoration, expenses on reclamation of lands resulting from prospecting, appraisal and exploration of mineral resources, on compensatory reforestation, expenses on reclamation of land (forest land) after completion of production of commonly occurring mineral resources.

The amount of estimated liabilities is recognized as expenses for the period and is included in the cost of an asset on the basis of that liability and circumstances.

Information on estimated liabilities is given in Table 7 of the Notes to the Balance Sheet and the Income Statement (table form).

4. Net assets thous. RUB

Indicator	As of 31.12.2023	As of 31.12.2022
The Company’s net asset value	7 476 037 490	6 158 991 983

Net asset value is calculated as per Order of the Ministry of Finance of the Russian Federation No. 84n dated 28.08.2014 as amended.

5. Notes to the Income Statement

5.1. Revenue, cost

For accounting purposes, revenue from sales of products (goods), works (services) of the Company is recognized pursuant to the Accounting Regulations “Income of an Enterprise” PBU 9/99 approved by Order No. 32n of the Ministry of Finance of the Russian Federation dated 06.05.1999.

Revenue from sales of products (goods), works (services) is recorded in the Income Statement and does not include VAT, excises and export duties.

Selling expenses are included in the cost of sales or other expenses at the end of a reporting period, subject to the type of assets sold. Administrative (general) expenses are included in full in the cost of sales.

The Company’s revenue accounting for five or more percent of the total income and relative cost of sales:

thousand RUB

Indicator	For 2023	For 2022
Revenue, total	2 218 771 228	2 333 088 493
including:		
oil	1 479 745 998	1 556 605 949
oil products	711 923 683	748 217 632
Indicator	For 2023	For 2022
Cost of sales, total	1 693 087 998	1 653 963 902
including:		
oil	871 938 385	883 451 142
oil products	492 794 499	448 265 547

Costs of production (cost of sales, selling and management expenses) are shown in Table 6 of the Notes to the Balance Sheet and the Income Statement (table form).

5.2. Other income and other expenses

Other income and expenses accounting for five and more percent of the Company’s total income and relative expenses:

thousand RUB

Other income	For 2023	For 2022
Income, total	1 778 679 761	4 468 478 131
including:		
foreign exchange transactions	312 814 418	2 469 263 177
exchange rate differences	1 309 829 828	1 878 962 481

Other expenses	For 2023	For 2022
Expenses, total	800 740 586	5 061 052 262
including:		
foreign exchange transactions	313 881 160	2 456 610 660
exchange rate differences	463 362 715	2 218 607 970
assets impairment	-	361 100 920

To reflect business transactions in a foreign currency (including those to be paid in rubles) the official exchange rate of the relative foreign currency, determined by the Central Bank of the Russian Federation as of the date of transaction, is applied.

Exchange rate differences caused during the year by transactions on assets and liabilities in a foreign currency as well as by revaluation of their cost as of the reporting date are shown as part of other income and expenses.

5.3. Base profit per share

Base profit per share for 2023 is RUB 34,69.

6. Information on segments

Revenue from sales of products (goods), works (services) in the context of reported segments is given below:

thousand RUB

Indicator	For 2023	For 2022
Sales of oil	1 479 745 998	1 556 605 949
Sales of oil products	711 923 683	748 217 632
Other sales	27 101 547	28 264 912

7. Information on related parties

Information on remuneration to key management personnel.

Remuneration with the regional coefficient and the Northern allowance included (salary for the reporting period, taxes and other compulsory payments to relevant budgets of the budgetary system of the Russian Federation, annual paid vacation for work in the reporting period and similar payments) to key management personnel (10 678 people), including business units, authorized and held responsible for planning, management and control of the Company's operations during the reporting period was RUB 50 240 000 thousand.

8. Contingencies

There are no lawsuits or claim disputes where the Company is a participant and which may substantially affect accounting (financial) statements. There is also no information about any economic events related to possible risks of disputes with tax authorities.

9. Subsequent Events

There were no economic events which affected or may affect the financial position, the cash flow or operating results of the Company in the period between the reporting date and the date when the accounting (financial) statements for the reporting period were signed.

10. Joint activity

In 2023, the Company did not enter into contracts with other companies on any joint activity.

Conclusion

The accounting (financial) statements of the Company for 2023 have been prepared in accordance with Federal Law of the Russian Federation No. 402-FZ "On Accounting" dated 06.12.2011 and subject to the provisions of the Resolution of the Government of the Russian Federation No. 1102 dated 04.07.2023 "On Specifics of Disclosure and (or) Provision of Information to be Disclosed and (or) Provided as Required by the Federal Law "On Joint Stock Companies" and the Federal Law "On the Securities Market" in order to represent the financial standing and income state of the Company, the disclosure of which is not detrimental to the Company and its counterparties.

Leadership	X	X
(position)	(signature)	(printed name)
Chief Accountant	X	X
(position)	(signature)	(printed name)

"29" March 2024